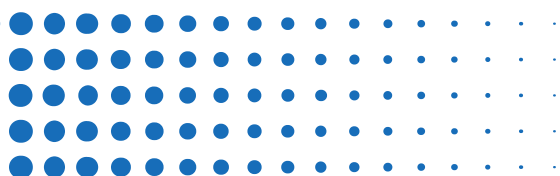


ICSE

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INDIAN CERTIFICATE OF SECONDARY EDUCATION EXAMINATION



ECONOMIC APPLICATIONS (87)

February 2025

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Council for the Indian School Certificate Examinations (CISCE)

MISSION STATEMENT

The Council for the Indian School Certificate Examinations is committed to serving the nation's children, through high quality educational endeavours, empowering them to contribute towards a humane, just and pluralistic society, promoting introspective living, by creating exciting learning opportunities, with a commitment to excellence.

ETHOS OF CISCE

- Trust and fair play.
- Minimum monitoring.
- Allowing schools to evolve their own niche.
- Catering to the needs of the children.
- Giving freedom to experiment with new ideas and practices.
- Diversity and plurality - the basic strength for evolution of ideas.
- Schools to motivate pupils towards the cultivation of:
Excellence - The Indian and Global experience.
Values - Spiritual and cultural - to be the bedrock of the educational experience.
- Schools to have an 'Indian Ethos', strong roots in the national psyche and be sensitive to national aspirations.

ECONOMIC APPLICATIONS (87)

Candidates offering Economics (Group II) are not eligible to offer Economic Applications (Group III).

Aims:

1. To familiarize students with the basic concepts of economics and economic phenomenon.
2. To develop their analytical skills.
3. To provide students with hands-on-experience in analyzing economic problems that they normally come across.

CLASS IX

*There will be **one** theory paper of **two hours** duration of 100 marks and Internal Assessment of 100 marks.*

THEORY – 100 Marks

1. Basic Concepts of Economics

- (i) Meaning and definition of Economics; Economic entities: Consumer, Producer, Households and Government. The importance of these economic entities. The meaning of an economy and role of the economic entities.

A basic understanding of the concepts of economics. The definitions of economics with reference to allocation of resources and scarcity of resources (Robbins, Samuelson). Basic explanation of the role of consumer, producer, government and households in an economy.

- (ii) Three major problems of an economy: What to produce? How to produce? For whom to produce? Efficient use of resources; basic understanding of the terms: economic growth and economic development

A brief introduction to the basic problems of an economy - What to produce? How to produce? For whom to produce? Needs to be emphasized irrespective of the type of an economy. Manner in which economics as a subject helps us to allocate scarce resources in an efficient way needs to be explained. The concept of economic growth and economic development should be explained.

- (iii) The nature and the classification of an economy: developed, underdeveloped and developing economy; Capitalistic, Socialistic, Mixed economies- main features.

A basic understanding of the features of capitalistic, socialistic and mixed economies is required. Meaning and classification of economies into developing and developed should be explained.

2. An Overview of Indian Economy

The nature of Indian economy: the main sectors of Indian economy - Agriculture, Industry and Services. Role of these sectors in Indian economy and their interrelationship. The sectors according to ownership- private and public; the sectors according to type of economy- rural and urban.

Role of agriculture in India and its problems.

Impact of Agricultural practices on the Ecosystem.

Construction of dams- loss of habitat species.

Loss of top soil and desertification.

Indiscriminate use of fertilizers and pesticides.

Measures to check the ecosystem;

Governmental initiatives: not building large dams for generating hydroelectric power which leads to less land being submerged and less displacement of people.

Alternative cropping for checking loss of topsoil and desertification. Plantation and conservation of grasslands to check soil erosion. Use of manure, bio-fertilizers and bio-pesticides green manuring, compost. These are eco-friendly alternatives to pesticides and fertilizers.

Role of Industries in the Indian Economy.

Impact of industrial practices on the ecosystem.

Mining, industries, energy generation, automobiles, urbanisation leading to defacement

of land, deforestation, deterioration of hydrological resources.

Industrial waste: mining operations, cement factories, oil refineries, construction unit.

Spoilage of landscape, pollution, health hazards, effect on terrestrial, aquatic (fresh water and marine) life.

Measures to check the ecosystem.

Improving efficiency of existing technologies and introducing new eco-friendly technologies.

Methods of safe disposal of waste - segregation, dumping, composting, drainage, treatment of effluents before discharge.

Abatement of pollution.

Air: setting standards and implementing them, using technical devices to reduce pollution.

Importance of Service Sector – National Income, Employment and Regional Development (in brief, no statistical data required). Interdependence of all three sectors (Primary, Secondary and Tertiary).

Meaning of Private and Public sector with examples. Meaning of Rural and Urban sector with examples.

3. Infrastructure of the Indian Economy

Economic and social infrastructure of Indian economy. Social infrastructure- education, health, family welfare and housing.

A basic understanding of the economic and social infrastructure and its role in India's economic development. The problems pertaining to lack of such infrastructure and their adverse impact on the economy to be discussed.

4. Consumer Awareness

Ways in which consumer is exploited. Reasons for exploitation of consumers; Growth of consumer awareness; consumer behaviour in the market; consumer rights. Legal measures available to protect consumers from being exploited – (COPRA, RTI).

Understanding the importance of educating consumers of their rights - awareness of food adulteration and its harmful effects.

5. Globalization

Meaning and factors enabling Globalization, WTO, impact of Globalization.

Meaning of globalization. Factors enabling globalization – technology and liberalization (removal of trade barriers).

WTO (main objectives), favourable impacts of the globalization – starting of MNC's and benefits to Indian companies.

NOTE: It is suggested that case studies may be discussed on the following topics:

Globalization

- Consumer Awareness
- Bhopal Gas Tragedy
- Chernobyl Disaster

INTERNAL ASSESSMENT – 100 Marks

*Candidates will be required to do a minimum of **four** assignments during the year, as assigned by the teacher.*

Suggested list of assignments:

1. Identify 100 consumers of major brands of edible oils in a locality/ area where you live. Draw up the pattern of their monthly expenditure on this product and compare it with the other household expenditure. Make a presentation of your findings in class.
2. Identify the major brands of bathing soaps that are available in the market in your area. Select a sample of 10 shops/ department stores that sell these brands and collect the sales of these brands over a period of one week at these shops. Identify the brands that sell the most and make a presentation for your class.
3. Make a presentation on the central problems an economy faces. Explain these with reference to the Indian economy.
4. Take a developed country such as the USA and a developing country such as India. Analyze the main characteristics of these economies.
5. Outline the main modes of transport in the district/city you live. What problems do you and other citizens face pertaining to the availability of public transport? Analyse.

6. Take a table of food grain production in India from any textbook on Indian economy or any other secondary source such as internet. Interpret the changes in the production over a given period of time.
7. Given a table of population growth for period between 1971 and 2001 and table of contribution of agriculture, industry and services sector for the same period, compare the two tables and present your findings in the form of a presentation.
8. Make a presentation of the major trading partners of India in the last 15 years. Specify the major changes that have taken place in the last five years.
9. What are the major items of export and imports from India in the last five years? Use secondary data sources and make out the changes that have taken place in this context.

CLASS X

There will be **one** theory paper of **two hours** duration of 100 marks and Internal Assessment of 100 marks.

THEORY – 100 Marks

1. Demand and Supply: Basic Concepts

Demand - Meaning and Types of Demand
Supply - Meaning

Law of demand and supply: demand and supply schedule and curve (both individual and market); movement and shift of the demand and supply curve; determinants of demand and supply; exceptions to the law of demand.

Meaning of Demand and Supply. Types of Demand (Joint Demand, Derived Demand and Composite Demand).

A basic understanding of the law of demand and supply in which demand and supply schedules are to be used to explain the demand and supply curves. The individual demand and supply curves must be distinguished from market demand and supply curves. Determinants of demand and supply are to be specified. Exceptions to the law of demand are to be discussed.

Elasticity of demand and elasticity of supply
Meaning, types; percentage, method of measuring elasticity of demand and elasticity of supply, Factors affecting elasticity of demand and elasticity of supply.

The concept of price elasticity of demand and supply are to be explained with percentage method. The factors affecting the elasticity of demand and supply are to be specified. (Simple numericals should be taught)

2. Factors of Production: Basic Concepts

Factors of production- Land, Labour, Capital and Entrepreneur.

Land- meaning and characteristics, functions and factors affecting productivity of land.

Destruction of ecosystem due to changing patterns of land use, migration, industrialization, shifting cultivation, dwelling units, mining, urbanization, construction of dams, etc.

Labour- meaning and characteristics. Division of labour - meaning, types, advantages and disadvantages. Efficiency of labour - meaning, reasons for low efficiency of Indian labour.

Capital - meaning, types and characteristics. Capital formation - meaning, factors affecting capital formation.

Entrepreneur - meaning, functions and role of entrepreneurs in economic development.

3. Alternative Market Structures: Basic Concepts

Nature and structure of markets- Perfectly competitive market, Monopoly market, monopolistically competitive market, concept of product differentiation, Monopsony market, and Oligopoly market.

The main features of the following market structures are to be discussed in the context of present business scenario –

Perfectly competitive market, Monopoly market, monopolistically competitive market,

Monopsony market (meaning to be highlighted).

Oligopoly market (only meaning with examples).

4. The State and Economic Development

The role of State in promoting development; the instruments of State intervention- fiscal policy and monetary policy; The Public sector enterprises - their role and problems; the issue of privatization of public enterprises.

A basic understanding of the role of the State in the economy needs to be highlighted in the context of Indian economy. The meaning of fiscal policy. Direct and Indirect Taxes (meaning, merits and demerits), Types of Taxes (progressive, regressive, proportional and degressive- meaning with examples). Monetary Policy – meaning only. Public sector - its role and problems. Reasons for Privatization.

5. Money and Banking: Basic Concepts

Money: meaning, functions of Money; Inflation - meaning, effects of inflation on the functioning of the economy (in brief). Banking: Commercial Banks - functions; Central Bank - functions; quantitative and qualitative credit control measures adopted by RBI.

A basic understanding of the concepts of money, its functions. Meaning and types of inflation to be discussed (Creeping, Walking, Running and Hyper-inflation). The impact of inflation on various economic entities such as debtors and creditors, fixed income groups and producers are to be explained very briefly. Functions of commercial banks and functions of RBI - qualitative and quantitative controls used by the RBI as part of its credit control measures should be explained.

NOTE: It is suggested that case studies may be discussed on the following topics:

- Factors of Production
- Banking
- Inflation

INTERNAL ASSESSMENT – 100 Marks

Candidates will be required to do a minimum of **four** assignments during the year, as assigned by the teacher.

Suggested list of assignments:

1. Take a fast moving consumer good (FMCG) like washing machine detergent. Analyze the factors that determine the demand of this product. Present your findings in form of a class presentation.
2. Develop a hypothetical table of information for coffee that shows quantity demanded at various prices and supply of coffee at these prices. Draw a demand curve and supply curve and show an equilibrium price at which market is cleared of its supplies.
3. Make a list of products for which you think demand is price inelastic and price elastic. Specify the reasons you may think relevant for your analysis.

4. Take a case of public enterprise which is about to be privatized or has been recently privatized. Analyze the pros and cons of such an exercise undertaken by the government. (The case of VSNL or BALCO can be taken up).
5. Take a case of a nationalized bank – visit any one of its branches in your city. Analyze the main functions of this bank's branch. Make a presentation to this effect.
6. Recently rates of interests have been reduced on all the saving instruments. Carry out a survey of 30 people in your area as to what is their reaction to this cut. The sample may consist of salaried people, business people and professionals.
7. Take a case of five FMCGs – fast moving consumer goods - bathing soaps, toothpastes, facial creams, shampoos, ball pens. Analyze as to how the market for these products is characterized by product differentiation.
8. Take the case of a company and analyze the production process in which all the factors that you studied in your class, are used by the company to produce a product.

EVALUATION

The project work is to be evaluated by the subject teacher and by an External Examiner. The External Examiner shall be nominated by the Head of the school and may be a teacher from the faculty, **but not teaching the subject in the relevant section/class**. For example, a teacher of Economics of Class XI may be deputed to be the External Examiner for Class X Economic Applications project work.

The Internal Examiner and the External Examiner will assess the candidate's work independently.

Award of marks (100 marks)

Subject Teacher (Internal Examiner)	50 marks
External Examiner	50 marks

The total marks obtained out of 100 are to be sent to CISCE by the Head of the School. The Head of the school will be responsible for the online entry of marks on CISCE's CAREERS portal by the due date.

INTERNAL ASSESSMENT IN ECONOMIC APPLICATIONS - PROPOSED GUIDELINES FOR MARKING WITH GRADES

Criteria	Preparation	Procedure	Observation	Inference	Presentation	Marks
Grade I	Excellent choice of firm, appropriate to project; clear identification of aspect to study; good research.	Originality and relevance; creative, rational and structured thinking; effective model; good questionnaire.	Systematic record of data; good arrangement of data; independent market survey; creative representation.	Information fitted correctly to model; work indicates understanding, good comprehension of subject.	Methodical, precise and clear expression; neat and tidy presentation; optimum utilisation of skills.	4 marks for each criterion
Grade II	Relevant choice of firm; identified aspect to study; adequate research.	Originality and structured thinking; adequate framing of questions; good insight.	Able to record data, but not step-by-step; able to grasp information; independent market survey.	Can judge and grasp information correctly; conclusion quantitatively evaluated.	Work neat and tidy and clearly presented; methodical and appropriate techniques used.	3 marks for each criterion
Grade III	Adequate choice of firm; some idea of what to study; some information gathered.	Records information correctly but lacks originality; independent framing of questions.	Assistance required in presenting, recording and arranging data; can conduct market survey.	Requires some assistance to relate data to model; able to relate to economic scenario.	Reasonably clear but work disorganised in places; writing untidy in places.	2 marks for each criterion
Grade IV	Firm selected but continuous assistance required for collection of information.	Unable to form a correct model; requires assistance to prepare questionnaire.	Tends to make mistakes in organising data; some ability to conduct market survey.	Assistance required in order to grasp the relevant and validity of information; tends to make errors.	Sequence of work acceptable but not very neat; poor presentation.	1 mark for each criterion
Grade V	Lack of perception of the subject and objective; lack of effort.	Not able to comprehend concept of a model; unable to prepare questionnaire even with assistance.	Faulty survey and mistakes in data; not able to proceed even with assistance.	Cannot process results; faulty conclusions in spite of assistance provided.	Data presentation untidy and disorganised; effort and initiative lacking.	0 marks for each criterion